

"The meltdown has further eroded the confidence of corporate India. Rising interest rates and credit availability are the two primary concerns."

RAJEEV CHANDRASEKHAR, FICCI PRESIDENT

"In the light of the downturn in major economies worldwide, more specifically in the US and UK, Jet Airways plans to optimise its network."

WOLFGANG PROCK SCHAUER, CEO, JET AIRWAYS

"We need to prevent the woes of the financial sector from hurting the real economy with a growth stimulus."

VIMAL BHANDARI, COUNTRY HEAD, AEGON INSURANCE

MANDAR DEODHAR



"With the dollar at Rs 48, I will be spending 25 per cent more each quarter on my daughter's education."

RAJESH KHETANI 42, Exporter

Cutting expenditure

SENT DAUGHTER TO US

for computer science education

For Khetani and wife Rekha, weekends are no longer about shopping or eating out. The Mumbai-based couple has cut down on expenditure to fund their 19-year-old daughter Urvi's education in the US. A student of computer science at Fullerton College, Urvi's quarterly expenditure—fees and allowance—is \$6,250. For her first semester in August, the Khetanis paid Rs 2.5 lakh. But in October, the family will have to shell out Rs 3.12 lakh for the next quarter. "It is getting difficult for us to bear these expenses," says Khetani. Khetani's iron-ore export business is also "badly hit". **by Aditi Pal**

and equity. In fact, the big crisis facing the corporate and banking sector now is from two such categories. Companies have raised over \$150 billion through foreign currency convertible bonds (FCCBs). These are debt instruments that can be converted into equity. This depends, however, on share values being higher than value of debt. Following the crash of equity markets companies may find investors shying away from conversion and wanting their money back. The companies will thus have to find the money to pay back debt, which means lower earnings as they repay debt leading to further erosion of value or belly-up. Judgment day is not far: the first redemptions come up in mid-2009.

Similar is the state of anxiety among those who have acquired entities through leveraged buyouts. A study reveals that Indian companies buoyed by rising domestic profits and equity valuations invested \$60 billion—of which at least a third is funded by debt—to globalise their operations. Interestingly, the Indian government has actively encouraged global acquisitions since 2004 so that Indian outfits acquired market share and size, creating desi MNCs. So you had the Aditya Birla Group acquiring can-makers Novelis for \$6.4 billion and Tata Steel acquiring Corus for around \$12 billion to emerge the fifth-largest producer of steel with revenues of over \$23 billion. The idea was good when global growth was sound and while cyclical slowdown was factored in, a meltdown of this magnitude was not. While nobody doubts the ability or the strength of the balance sheets of Aditya Birla Group or Tatas, smaller players face crashing valuations and rising cost of debt. As with FCCBs, the companies will have to take a hit or perish. Of course, these fears could be mitigated if domestic growth doesn't tank. But that is easier said than delivered.

Growth is the outcome of investment and returns. To appreciate India's growth story, one has only to refer to the fable of the crow which dropped pebbles to make the pot brim over. In India's case, the pebbles were foreign capital, global growth and domestic consumption boom. In fact, India has added over \$100 billion to its reserves just in the past three years thanks to inflows that included FII investments and FDI, including private equity, exports and rising remittances. Of these preconditions, foreign capital is unlikely to flow in the same measure. As